

Public Policy and Armed Conflict: A Doctrinal Inquiry into the Boundaries of Enforcement

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Abstract

This article examines whether armed conflict can legitimately justify refusal of recognition and enforcement of foreign arbitral awards on grounds of public policy. Although wartime conditions intensify concerns relating to sovereignty, national security, and sanctions, they do not justify a general departure from the pro-enforcement logic of the New York Convention. Drawing on the treaty objectives, scholarship on public policy, and comparative wartime case law, the article argues that armed conflict should matter only through a disciplined legal inquiry rather than through abstract appeals to hostility, political emergency, or national interest.

The article develops a structured framework for wartime public policy analysis. Courts should identify the precise norm allegedly endangered by enforcement, determine whether the alleged harm arises from enforcement itself rather than merely from the award creditor's status in regard to the belligerent State, assess the proximity of the dispute to the enforcing forum and the seriousness of the threatened harm, and consider less restrictive alternatives to outright refusal. Applying that framework, the article distinguishes among personality-based objections, national-security arguments, defence-industry cases, and sanctions-related disputes. It concludes that only a narrow category of cases, especially those involving direct support for a belligerent's defence industry, presents a convincing basis for refusal, while many sanctions cases are better addressed through conditional enforcement or suspended enforcement.

Keywords: Arbitration, Arbitral award, Armed conflict, Enforcement, Public policy, Sanctions.

1 Introduction

When a court in one country is asked to enforce a foreign arbitral award, there is a general expectation that it will be upheld. This expectation stems from international treaties and national laws designed to make international arbitration more predictable and reliable. At the same time, these legal frameworks also recognise an important safeguard: the public policy exception. If enforcement of a foreign arbitral award conflicts with the fundamental principles and values of the enforcing State, courts may refuse recognition and/or enforcement. Typically, however, this exception is interpreted narrowly so as not to undermine the effectiveness of international arbitration.

Armed conflicts introduce complex and underresearched challenges into this framework. A State engaged in conflict may argue that the circumstances make enforcement of some foreign arbitral awards unacceptable. Enforcing a foreign award might, for example, be said to threaten sovereignty, compromise national security, or clash with sanctions that affect the possibility of payment or transfer. In such cases, respondents may invoke public policy arguments to shield themselves from obligations that, in their view, would jeopardise the State's security or contradict basic legal principles. Courts, however, often do not engage openly with the role of armed conflict and instead rely on abstract references to sovereignty, hostility, or public policy. This raises a central doctrinal problem: under what conditions, if any, can wartime considerations legitimately justify refusal of foreign arbitral awards recognition and enforcement?

This paper addresses that question directly: can the existence of armed conflict legitimately serve as a basis for invoking the public policy exception to refuse enforcement of foreign arbitral awards? On the one hand, respecting the finality of foreign arbitral awards is crucial to maintaining stability in international commerce

and legal relations. On the other hand, States have a duty to safeguard their citizens, maintain public order, and minimise harm during wartime. If enforcing a foreign arbitral award poses a genuine risk to national security or gravely contradicts a country's legal foundations in times of armed conflict, invoking public policy may appear justified.

Yet using armed conflict as a ground to block enforcement is rarely straightforward. Some scholars may warn that allowing broad reliance on wartime exceptions undermines the rule of law and offers States an easy way to disregard international obligations. Others might argue that, in extreme circumstances where national survival is at stake, commercial commitments must yield to overriding concerns of sovereignty and security.

This paper engages with both perspectives through a doctrinal-comparative method. It interprets the public policy exception in light of the objectives of the New York Convention, leading scholarship, and selected wartime cases. Russian and Ukrainian case law provides the principal factual point of reference, as the armed conflict between those States since 2014 has generated concentrated litigation in which courts have been asked to connect public policy, security, sanctions, and the enforcement of arbitral awards.¹ German and U.S. cases are used as comparators to examine how other jurisdictions have approached the interaction between public policy and armed conflict. The paper does not claim to survey all wartime enforcement decisions in all jurisdictions. Its contribution is doctrinal and analytical: it proposes a more disciplined framework for reasoning about wartime public-policy objections under the New York Convention.

¹ The author also has sufficient proficiency in Russian and Ukrainian to conduct extensive case-law research from both countries, enabling a comparative analysis of how their judiciaries apply public policy and how the armed conflict has affected judicial decision-making.

The study proceeds in four parts. First, it examines the goals of the New York Convention and the reasons why public policy use must remain exceptional. Second, it analyses whether armed conflict can trigger the public policy exception and proposes a structured test for answering that question. Third, it turns to case studies and identifies four recurring wartime scenarios: claims involving nationals or associates of a State participating in the armed conflict against the enforcing forum (the “belligerent” State), cases framed as implicating national security, cases involving the defence industry, and cases involving wartime sanctions. Fourth, it evaluates two judicial models for handling the hardest cases: temporary refusal and conditional enforcement. The paper’s central claim is that armed conflict should matter only through a disciplined legal inquiry. Courts should identify the precise norm allegedly threatened by enforcement, require concrete proof that enforcement itself would create a serious risk, assess proximity to the forum, and consider less restrictive alternatives before refusing enforcement. Properly understood, wartime public policy is therefore narrow, evidence-based, and compatible with continued respect for treaty obligations.

2 The Pro-Enforcement Logic of the New York Convention

The New York Convention is built around a simple but powerful premise: foreign arbitral awards should circulate across borders with limited judicial interference. That premise serves several connected aims. It promotes certainty in international commerce, preserves the finality of arbitral dispute resolution, reduces the costs of repetitive litigation, fostering international legal cooperation, and providing balanced safeguards that protect fundamental principles of justice. The Convention’s public policy clause must be read against that background.

2.1 Certainty and predictability

Cross-border transactions depend in part on the expectation that an award issued in one jurisdiction will be recognized and, where necessary, enforced in another. Article III of the Convention gives effect to that expectation by requiring contracting States to recognize awards as binding and to enforce them in accordance with local procedural rules, but without imposing substantially more onerous conditions on foreign awards than on domestic ones (Convention on the Recognition and Enforcement of Foreign Arbitral Awards, 1958). That basic promise reduces uncertainty for commercial actors and lowers the risk that dispute resolution will become meaningless once assets are located abroad ([Freehills, 2018](#); [Born, 2021](#)). The Convention was drafted in the post–Second World War context, when rebuilding trust in international trade was paramount for everyone.

2.2 Finality and efficiency

Without an international enforcement mechanism, successful award creditors would face the costly and time-consuming burden of re-litigating or re-arbitrating disputes in each enforcing jurisdiction. The New York Convention prevents such duplication by simplifying enforcement procedure and reducing the extent of judicial review on the merits. This promotes judicial economy, allowing courts to allocate resources more efficiently while enabling parties to move more swiftly from obtaining a decision to actual execution and collection of debts. In commercial contexts, such efficiency is essential for maintaining financial flows and mitigating financial risks.

2.3 International legal cooperation

The New York Convention also functions as an instrument of legal diplomacy. By committing to uphold foreign arbitral awards, States foster mutual trust and reduce friction in their international relations. Over time, this cooperation should build a more integrated transnational legal framework, reinforcing the credibility of both courts and arbitral institutions. Thus, the enforcement treaty serve not only private parties but also States, by embedding reciprocal trust into international relations.

2.4 Limited safeguards

Although the New York Convention is designed to be pro-enforcement, it also preserves essential safeguards. Article V preserves a small set of defenses that protect basic procedural fairness, jurisdictional limits, and fundamental public policy. These safeguards prevent the recognition and enforcement of foreign arbitral awards that would contravene the most basic legal standards of the enforcing State. For instance, courts may refuse enforcement where proceedings were manifestly unfair, where judgments were obtained through fraud, or where awards include remedies (such as punitive damages) that are alien to the enforcing jurisdiction's legal order ([IBA, 2015](#)). By incorporating these safeguards, the New York Convention maintain a balance between facilitating enforcement and protecting the integrity of domestic legal systems.

Read in this way, Article V(2)(b) cannot be interpreted in isolation from the Convention's object and purpose. A court considering a wartime public-policy objection must therefore keep two propositions in view at once: the enforcing forum remains entitled to protect its fundamental legal order, but that protection must be

exercised in a manner consistent with the treaty framework designed to make refusals rare rather than routine.

3 Armed Conflict and Public Policy Exception

Armed conflicts disrupt the mutual enforcement of arbitral awards between States participating in the armed conflict against each other and thereby undermine the objectives of the New York Convention. While war causes human loss and destruction, the reluctance of courts in the belligerent States to comply with their enforcement obligations adds another layer of damage: private property rights are weakened, and the legitimacy of international treaties is eroded. Some observers may argue that this outcome is inevitable because judges will instinctively prioritise State interests in wartime, even without clear evidence that enforcement would harm the legal order. This section asks whether armed conflict can legitimately justify the application of the public policy exception, and if so, under what conditions.

The New York Convention allows courts to refuse enforcement where doing so would contravene '*public policy*'. The concept has deep roots in private international law, historically serving as a safety net that permits States to deny effect to foreign laws or judgments ([1958 New York Convention Guide, 2011](#); [Mills, 2008](#)). In the 1958 New York Convention, the drafters intentionally refrained from defining '*public policy*', thereby entrusting national courts with interpretative discretion while maintaining the Convention's pro-enforcement bias ([Chilikov et al., 2021](#); [Samlot, 2024](#)). Comparative studies reveal that, despite variation in terminology, public policy is generally understood to cover '*fundamental*' or '*basic*' legal principles. The IBA Subcommittee on Recognition and Enforcement of Arbitral Awards, for instance, categorises these principles in two ways: in civil law systems, public policy is often

tied to the foundational values of society; in common law jurisdictions, it more frequently invokes notions of justice, fairness, and morality (IBA, 2015). Yet these formulations remain vague, leaving courts with little concrete guidance as to the limits of the exception.

Scholarly efforts have attempted to refine the public policy inquiry. Mills, for instance, conceptualises public policy through three factors: (i) the degree of proximity between the dispute and the enforcing forum, (ii) the universality or relativity of the norm invoked, and (iii) the seriousness of the breach (Mills, 2008). Public policy is therefore more likely to succeed where all three elements are present. These elements define the limits of the ‘tolerance of difference’ implicit in rules governing recognition and enforcement (Mills, 2008). Applied to armed conflict, Mills’ framework suggests that public policy should not automatically bar enforcement of all foreign arbitral awards. Rather, refusal should be confined to cases where the enforcing forum connection is strong, the violated norm is fundamental, and the consequences of enforcement are grave enough to threaten the integrity or security of the enforcing State.

The distinction between domestic, international, and transnational public policy is also crucial in evaluating whether armed conflict can justify refusal of enforcement.² If assessed solely through domestic public policy, wartime considerations such as sovereignty or security may dominate, leading courts to prioritise national interests over treaty obligations. By contrast, international public policy, which is narrower and specifically tailored to the recognition and enforcement of foreign arbitral awards (Moses, 2018), requires enforcing courts to consider not only their own interests but

² Some jurisdictions distinguish explicitly between international and domestic public policy (e.g., France, Lebanon, Portugal, Peru, Paraguay, Switzerland), while others do not (e.g., Canada, Poland, Austria) (IBA, 2015). However, the lack of distinction does not mean a broader interpretation of the concept, even to the contrary.

also the expectations created by international treaties. Under this lens, wartime security concerns may justify refusal only where enforcement would directly contravene fundamental principles of justice or core State interests, rather than on the basis of generalised hostility toward the opposing party. Transnational public policy narrows the concept further by tying public policy to ‘universal standards as to norms of conduct that are generally recognised and agreed upon as unacceptable in most civilized countries, such as slavery, bribery, piracy, murder, terrorism, and corruption’ (Moses, 2018). The International Law Association in its Recommendations (2002) (*Recommendations on the Application of Public Policy as a Ground for Refusing Recognition or Enforcement of International Arbitral Awards*, 2002) advises States to apply international public policy in enforcement proceedings.³ According to the International Law Association, the international public policy of any State includes:

1. fundamental principles, pertaining to justice or morality, that the State wishes to protect even when it is not directly concerned;
2. rules designed to serve the essential political, social, or economic interests of the State, these being known as “*lois de police*” or “*public policy rules*”; and
3. the duty of the State to respect its obligations towards other States or international organizations (*Recommendations on the Application of Public Policy as a Ground for Refusing Recognition or Enforcement of International Arbitral Awards*, 2002).

The dilemma emerges directly from the text of the ILA’s Recommendations. On the one hand, the ILA includes the protection of a State’s essential political, social, and

³ Most national courts have adopted international public policy in enforcement procedures (for [Commercial Arbitration](#), 2024).

economic interests within international public policy; on the other hand, it also requires respect for obligations owed to other States and international organizations. This duality raises the question of what courts should do when enforcement of a foreign arbitral award might threaten the vital interests of the State, but refusal of enforcement would itself amount to a breach of the State's international obligations. The issue becomes particularly acute in times of armed conflict, when security concerns become more important than ever. Should national courts give priority to safeguarding domestic interests, even at the expense of treaty compliance? Or should they treat international obligations as paramount, thereby constraining sovereignty-based objections? Alternatively, should they take a more nuanced, case-by-case approach in which courts weigh national interests against treaty commitments to determine whether the public policy exception is legitimately engaged? The answer to these questions matters greatly for private parties, courts, and States.

3.1 Does Armed Conflict Trigger Public Policy?

The definitions collected in the IBA report on public policy reveal that a number of States explicitly include national interests within the scope of “*fundamental or basic*” principles. Table 1 presents examples from the IBA study showing States that treat the protection of sovereignty or essential interests as part of public policy. Although only a limited group of jurisdictions adopt this approach, it nonetheless signals a trend toward the explicit incorporation of State interests into the grounds for refusing enforcement.

Country	Definition
China	Fundamental interests of the society, safety of the country, sovereignty and good social customs.
Indonesia	Danger to the national interest of Indonesia, including its economy and a violation of the Indonesian sovereignty.
India	The interests of India.
Kenya	National interests of Kenya.
Nigeria	Community conscience applied throughout the State to matters of public morals, health, safety, welfare and the like.
Pakistan	Objects injurious to good government either in the field of domestic or foreign affairs, economically against the public interest.
Russia	Fundamental principles of the economic, political and legal system, sovereignty and security of the State, interests of big social groups and constitutional freedoms and rights.
Venezuela	Interests of the Venezuelan State.

Table 1: List of countries with their definitions of public policy. Some of these countries employ more extensive definitions. For the sake of clarity, the definitions are shortened. Sources: *1958 New York Convention Guide* (2011), *ICCA* (2024).

In such jurisdictions, courts may refuse to enforce foreign judgments and arbitral awards if they are perceived to endanger national interests or State sovereignty. This approach offers disputing parties a degree of predictability: they can anticipate that awards or judgments are likely to be unenforceable in wartime, when sovereignty concerns are most acute. By expressly including national interests within the scope of public policy, these States may enhance legal certainty and procedural efficiency, thereby arguably advancing the broader objectives of the enforcement treaty. Some Western commentators criticise this approach for fostering protectionism and undermining the uniform enforcement sought by international treaties ([Carbonneau, 2002](#)). Yet, paradoxically, explicit recognition of national interests may produce

greater transparency (Yang, 2014)⁴ than approaches in which such interests are considered only implicitly, leaving parties uncertain about likely outcomes.

By contrast, in States that do not expressly refer to sovereignty or national interest in their definitions of public policy, enforcement can only be refused if the violation reaches a particular threshold of seriousness (IBA, 2015). As the IBA study shows, this is often expressed through qualifiers such as “*clear*”, “*concrete*”, “*evident*”, “*blatant*”, “*manifest*”, “*obvious*”, “*flagrant*”, “*particularly offensive*”, “*severe*”, “*intolerable*”, “*unbearable*” (... violation) (IBA, 2015). In wartime, however, determining the magnitude of such a violation is rarely straightforward. Consider the case of enforcing a contract for the cross-border purchase of seeds: in one scenario, the seeds may eventually support the agricultural sector and indirectly supply the armed forces; in another, the crops may die because of natural reasons or never reach the military. Anticipating in advance whether enforcement would be of such magnitude as to endanger national security is therefore highly uncertain.

Scholars further divide public policy into categories of public interest, public morality, and public security (Ghodoosi, 2016). In times of armed conflict, the categories of public interest and, above all, public security become paramount. The former seeks to balance private arrangements with societal needs, while the latter is concerned with shielding citizens and the State from external threats. Courts typically balance private and public interests when assessing enforcement consequences, thereby protecting society from harmful private arrangements (Ghodoosi, 2016). Ghodoosi argues, however, that this balancing logic should lose an advantage in cases

⁴ Although this study concerns inter-judge sentencing disparities in U.S. federal criminal law, it provides a useful example in support of the broader claim that greater transparency and predictability in judicial decision-making can help limit disparities between judges’ decisions.

implicating public security. In his view, even a slight risk to State survival warrants suspending the ordinary balancing of interests:

“... the interest of States is of paramount importance. In the judicial evaluation of public policy matters involving States’ survival, balancing is of little help. Following the balancing approach, with very little chance of security risk, the (award) should be enforceable. The slight chance of threat to States’ survival will suspend the logic of balancing” (Ghodoosi, 2016).

Courts therefore must play an active role in scrutinizing whether genuine security risks exist, since State officials *“tend to portray any threats to their State’s existence as highly critical”* (Ghodoosi, 2016). Respondents, however, may also invoke security arguments opportunistically to avoid liability. If courts accept mere references to wartime danger, the burden of proof becomes almost nonexistent and the public policy exception is transformed into a broad escape device.

Some may argue that Ghodoosi’s claim can be defended in a more moderate form: courts may lack the institutional competence to assess security risks and may therefore be justified in deferring to the executive.⁵ Taken too far, however, this logic risks turning armed conflict into a blank cheque for the erosion of individual rights in the name of national security. The institutional-competence objection is strongest where enforcement depends on intelligence-sensitive information, although I have not found any case in which such considerations were expressly invoked in relation to an

⁵ The US courts, for instance, developed jurisprudence which led to the reduced scrutiny of governmental action if they were taken for national security reasons undermining civil liberties and human rights of the US citizens and aliens (see Brooks (2004) for more detailed discussion of the US jurisprudence).

enforcement decision. Even then, it does not follow that courts should abstain from review altogether.

A more balanced approach is for courts to conduct legality-oriented review through a heightened standard of judicial scrutiny. In practice, this means requiring reasons, verifying the existence of evidence, examining proportionality, and upholding due process standards (Brooks, 2004; Tomkins, 2011).⁶ Such review does not require courts to become security agencies. Rather, it requires them to ensure that security-related claims remain subject to ordinary requirements of reasonableness (Brooks, 2004). The opposite approach would create a direct path for government officials to abuse claims of institutional “*competence*” by “*misrepresenting the nature of the threat to the courts*” (Brooks, 2004, p. 737).⁷

Judicial review of all relevant facts increases the likelihood of a fair enforcement procedure for the award creditor while also preserving the goals and objectives of the New York Convention. If the Convention were not designed to entrust enforcement decisions to courts capable of conducting such review, it would have been simpler to leave the recognition and enforcement of foreign arbitral awards to the executive.

Finally, Ghodoosi’s position also reflects the logic of the historical doctrine of “*war cancels everything*”. If adopted, no analysis of enforcement consequences would be required once any security concern is raised. Yet contemporary practice shows that this

⁶ Although investment arbitration falls outside the scope of this study, it is worth noting that investment tribunals regularly assess whether national-security claims are reasonable when determining the international responsibility of States under international investment agreements. Examples include CMS Gas Transmission Company v. Argentina, ICSID Case No. ARB/01/8, and AAPL v. Sri Lanka, ICSID Case No. ARB/87/3. This supports the claim that domestic courts are no less competent than arbitrators to evaluate national-security claims.

⁷ This tendency to invoke security concerns across different areas of social life can be understood through Wæver’s concept of securitization. The concept explains how legal and political actors may transform an otherwise ordinary enforcement dispute into a matter of existential security, thereby seeking to legitimise exceptional judicial responses (see Wæver (1995)).

doctrine no longer holds. The Russia-Ukraine war of 2022 illustrates that trade relations may continue between States participating in the armed conflict against each other even during hostilities; for example, bilateral gas trade persisted during the first two years of the 2022 war ([Vakulenko, 2025](#)). Similarly, the International Law Commission has explicitly rejected the “*war cancels everything*” doctrine, affirming in its Draft Articles on the Effects of Armed Conflicts on Treaties (2011) that treaties remain in force by default unless incompatibility with hostilities can be demonstrated.⁸

These developments show that armed conflict can be relevant to public policy of the enforcing forum, but they do not support automatic refusal of enforcement based on the award creditor’s nationality or generalised references to wartime. Instead, courts should engage in a careful, case-by-case analysis of enforcement consequences, assessing whether a violation of public policy exists and whether it is serious enough that compelling performance would genuinely harm the enforcing State. The burden of proof should rest on the party resisting enforcement.

3.2 A Structured Test for Wartime Public Policy

The preceding discussion suggests that the real difficulty is not whether armed conflict matters, but how courts should test its relevance. A workable framework should discipline judicial discretion while preserving room for genuine security concerns. I propose a four-element test which courts should apply to analyse whether to enforce foreign arbitral awards related to armed conflict.

First, the court of the State in which enforcement is sought should identify the precise norm allegedly endangered by enforcement. Vague references to sovereignty, wartime conditions, or hostility toward an enforcing State are not enough. The resisting

⁸ Art. 3, Draft Articles on the Effects of Armed Conflicts on Treaties (2011), ([Commission, 2011](#)).

party should specify whether the alleged danger to the enforcing State concerns, for example, the financing of military production, a concrete sanctions prohibition, or a clearly articulated rule of public security.

Second, the court should ask whether the alleged danger flows from enforcement itself rather than merely from the identity or State affiliation of the award creditor. This distinction is crucial. The fact that the award creditor is a person connected to a State belligerent for the enforcing forum, or to a neutral State supporting that State, pays taxes there, or has commercial contacts there does not by itself show that enforcement of the award will materially strengthen the enemy or undermine the enforcing State's legal order.

Third, the court should evaluate the proximity between the dispute and the enforcing forum together with the seriousness of the hypothetical harm. Mills' framework remains useful in this regard (Mills, 2008). Refusal becomes more plausible where the transaction and the dispute bears a close connection to the enforcing forum and where enforcement would create a clear, serious, and not merely speculative threat. The "*connection*" with the forum is determined based on factual circumstances and connecting factors present in each case, but the primary goal is to establish the degree of interest the enforcing forum has over the dispute (Mills, 2008). The greater the forum's interest in the dispute, "*the greater the justification for the application of public policy*" (Mills, 2008, p. 212).

Certainly, the enforcing forum has some interest in the dispute simply because the matter falls within its jurisdiction, especially in the context of armed conflict. However, the enforcing court should clearly explain why enforcement of the foreign award would be of special interest to the forum. The seriousness of the hypothetical harm is likewise subject to case-by-case analysis, but the required threshold should be high. Minor economic inconvenience, reputational discomfort, or generalised political

disagreement should not qualify. By contrast, direct support for military production or a direct material threat to defence capability may justify reliance on public policy to refuse enforcement.

Fourth, before refusing enforcement, the court should consider whether less restrictive alternatives can protect the relevant public interest. In wartime cases, the appropriate response may be postponement of payment, escrow of funds, partial execution, or award recognition with a suspension of enforcement until a sanctions obstacle is lifted. A narrow public policy exception should not be used to produce total non-enforcement where a more tailored measure would adequately protect the forum.

Since Article V(2)(b) is exceptional, an enforcing court should ordinarily expect the party resisting enforcement to check all four elements before outright refusal is justified. If one of the test elements is absent, it indicates that the consequences of the enforcement will not be of such negative magnitude to the enforcing legal order to justify the deprive of private property rights contained in the foreign arbitral award, hence, the test should cumulative.

Common requirement for this type of cases is that the burden of proof should remain with the party resisting enforcement, and that burden should require concrete evidence rather than conjecture. Courts should distinguish clearly between proved legal obstacles, such as an operative prohibition on transfer, and foreign policy preferences of the enforcing State dressed up, usually, by debtors as the element of the public policy. This is especially important because wartime rhetoric creates obvious opportunities for opportunistic defence tactics.

This four-element test builds on Mills while responding to the concerns highlighted by Ghodoosi. From Mills it takes proximity and seriousness as essential limiting principles. From Ghodoosi it takes seriously the fact that security arguments can exert extraordinary force in wartime. But instead of treating security claims as suspending

ordinary legal scrutiny, the test requires courts to move through a norm-specific, enforcement-specific, evidence-based inquiry. It preserves space for exceptional cases without allowing war to become a general substitute for legal reasoning.

This four-step framework clarifies why some wartime cases are stronger than others. Cases involving direct support for the defence industry of the belligerent State are more likely to satisfy all four elements: the threatened norm is identifiable, the danger arises from enforcement itself, the potential harm is serious, alternatives may be limited. By contrast, cases resting only on State affiliation, commercial association, or abstract references to public security typically fail at the second, third, or fourth step. The framework also helps explain why sanctions cases are analytically distinct: sanctions may create a temporary obstacle to payment, but they do not automatically prove that recognition or enforcement as such violates fundamental public policy.

4 When Does Armed Conflict Raise Public Policy

Concerns?

In general, the mere existence of armed conflict should not be sufficient to justify application of the public policy exception. However, this study, nevertheless, identifies four situations in which enforcement of foreign arbitral awards during armed conflict may indeed raise public policy concerns: (i) where the award creditor is a person from, or closely associated with, the belligerent State, (ii) where enforcement implicates national security interests for the enforcing State, (iii) where the award creditor belongs to, or supports, the defence industry of the belligerent State, and (iv) where enforcement intersects with wartime sanctions of the enforcing State.

4.1 Award Creditor is a Person from or Associated with the State Participating in the Armed Conflict against the Enforcing Forum

Empirical analysis shows that courts invoke public policy to refuse enforcement of awards (and foreign judgements) in favour of a person from the belligerent State (Shchetinin & Avdeev, 2026). The reasons for this approach may vary: diminished trust in persons of the State participating in the armed conflict against the enforcing forum, or paternalistic attempts to shield domestic parties from paying debts to an ‘enemy’. Yet such reasons are seldom made explicit in judicial reasoning. Instead, courts often rely on formalistic references to ‘*public policy violations*’, even though it hardly aligns with national definitions of the concept. A notable example arose before Ukrainian courts in 2016–2018, concerning enforcement of a German Arbitration Institute (DIS) award in a dispute between Russian and Ukrainian companies (*Resolution Supreme Court of Ukraine (755/6749/15-u)*, 2018). The Ukrainian defendant claimed that the court should reject the enforcement because the award creditor was a *Russian company* which paid taxes in Russia which then used to finance the aggression against Ukraine. In defendant’s view, Russia threatens Ukrainian sovereignty, territorial integrity, and rights and freedoms of the Ukrainian citizens. Hence, enforcing the DIS’ award will be contrary to the public policy and interests of Ukraine because taxes paid from award enforcement will be used for aggression against Ukraine. Courts of all three instances refused to accept the defendant’s arguments. According to the Supreme Court of Ukraine, the mere fact that the award creditor is a company incorporated in the State, recognised as an aggressor, cannot be a sufficient reason for non-performance of contractual obligations. In addition, the defendant failed to support their argument with any evidence of the harmful consequences of the DIS’ award enforcement for the Ukrainian security and economy. The enforcement cannot be contrary to the public policy of Ukraine because the award concerned only the defendant as an independent

business unit and has legal consequences only for this legal entity. The start of the Russia-Ukraine conflict in 2014, in the Court's opinion, did not change the private commercial relationship between the award creditor and the debtor.

This case illustrates how parties may attempt to exploit armed conflict to escape contractual obligations. By invoking the “*war cancels everything*” logic, the Ukrainian respondent sought to avoid payment. The Court instead properly engaged with the New York Convention's objectives, holding that unsupported allegations of *nationality-based harm* were insufficient. Being a person from the belligerent State is not, in itself, equivalent to financing aggression or creating a genuine security risk.

By contrast, Russian practice after the 2022 war escalation demonstrates the opposite tendency. Russian courts have increasingly treated even indirect commercial ties with Ukraine as sufficient to justify refusal of enforcement. For example, Russian courts refused to enforce the LCIA award because it would violate public policy of Russia. The award creditor was an offshore company belonging to the Lebanese holding company trading steel. According to the court, the award creditor had ties with Ukraine which, in court's opinion, justified the refusal to enforce the award: the award creditor invested in Ukraine, organised and financed social and commercial projects, the ultimate beneficiary of the award creditor financed the construction of the Ukrainian Embassy in the Republic of Lebanon and subsequently donated it to Ukraine, he also has ties with Ukrainian business community, politicians, and civil servants, the award creditor has an office in Ukraine ([*Resolution of the Sixteenth Arbitrazh Appeal Court \(A63-2940/2022\)*, 2025](#)). The court also cited the decree of the President on “*The use of special economic measures in regard to unfriendly actions of the USA and other States and international organisations*” which recognised Ukraine, Cyprus (award creditor's place of incorporation), and British Virginian Islands

(holding's place of incorporation) as a so-called '*unfriendly*' State.⁹ All of these facts, according to the court, were enough to refuse the enforcement of the LCIA award. Yet, the court did not engage in the analysis of the consequences that would be harmful to the sovereignty or national security of the State nor explained the legal relevance of these facts to trigger public policy. The mere association with so-called '*unfriendly*' States, that are determined solely by the president, was sufficient to reject the award creditor's right to get protection of the New York Convention. Even though the national security is well-known element of the Russian public policy and it is predictable to be evaluated ([Zharikov, 2023](#)), it was difficult to imagine that commercial and social ties with the belligerent State (Ukraine) could be interpreted as a threat to the national security.

This example illustrates how armed conflict can lead to an inefficiency of the enforcement treaty not only for persons from of the belligerent State , but also for persons of other States. The absence of a clear demonstration of the harmful consequences of enforcement to State security undermines the treaty's objectives of predictability and limited exceptions.

4.2 National Interests and Public Policy

In both Russia and Ukraine, case law includes "*security of the State*" within public policy ([Galagan, 2012](#); [Zharikov, 2023](#)). Yet, this is a vague and fluid concept, encompassing a wide range of normative acts issued by the Executive or the head of the State to "*protect certain values and principles deemed to be of fundamental importance to the State*" ([Zharikov, 2023](#)). National Security Strategies oblige courts

⁹ Russian authorities classify certain States as so-called "unfriendly" where they consider those States to have committed "unfriendly actions" against Russia, Russian companies, or Russian citizens.

to treat threats identified by the State as part of their legal reasoning. However, threats to national security could have numerous forms, such as enforcing an award or a judgement will cause financial losses to strategic enterprises or State's budget.¹⁰ This elasticity enables courts to stretch public policy into a tool for protecting not only genuine State security but also corporate or political interests.

A striking illustration arose in 2018 before the Ukrainian Supreme Court, which considered whether to enforce a Russian judgment against a Ukrainian wagon-building company (*Resolution of the Supreme Court of Ukraine (537/1688/18), 2018*). The defendant asked the court to reject the enforcement of the Russian judgement because it would violate the public policy of Ukraine, would be harmful to Ukrainian security and defence. According to the defendant, Russian companies limited their purchase of the company's products and characterised it as measures of economic and trade destructive influence directed against Ukrainian railway engineering industry implemented through the system of certification bodies for railway transport and later through courts. Moreover, the production cycle of the defendant is highly complicated, so the enforcement of the judgement will cause huge losses to the Ukrainian railway engineering industry up to liquidation of the defendant's enterprise.

The Court relied on the report of the auditor to conclude that the enforcement will lead to high losses of the defendant and will make it impossible to pay defendant's debts of 2014-2016. The Court described the decision of the Russian authorities to revoke defendant's safety certificates for the internal market and Russian courts' judgements on compensation for damages caused to the Russian railway company as 'trade war'. However, if we trust public sources, then we can trace that this process started before the Russia-Ukraine conflict 2014 emerged. It raises doubts regarding the

¹⁰ This approach to interpretation of the public policy by Russian courts was often criticised (Shchetinin, 2021)

actual trade war taking place. Nevertheless, the Supreme Court referred to the national security strategy of Ukraine enacted by the president of Ukraine to characterise ‘*trade war*’ as a security risk for Ukraine. According to the Court, the reduction in the defendant’s profits resulted from actions of the Russian authorities that were equated with aggression against Ukraine. Hence, the Supreme Court refused to enforce the Russian judgement as contrary to the public policy, security and interest of Ukraine.

It can be assumed that the Ukrainian Supreme Court considered Russian judgement to be biased towards Ukrainian persons which made it to interpret court’s judgement as a manifestation of the trade war. However, in similar case ([*Decision of the Podilskyi District Court of Kyiv \(758/11472/17\), 2018*](#)), a Ukrainian court also refused to enforce an arbitral award issued in Russia by an independent arbitrator as contrary to the national security of Ukraine because an award was also a manifestation of the trade war. So, the Ukrainian court, *in fact*, characterised independent arbitral institutions as part of the State apparatus supporting the trade war. These examples raise the question of whether mere references to a “*trade war*” can justify a finding of public policy violation, particularly when such measures do not even constitute a breach of international law.

The U.S. approach to balancing national interests and public policy provides a telling contrast. In 1974, the US courts faced a similar legal question. The New York District Court in the case of *Parsons Whittemore Overseas Co. Inc (USA). v Societe Generale de l’Industrie du Papier (RAKTA) (Egypt)* analysed the relationship between public policy and inter-State relations. When Egyptian government broke diplomatic ties with the United States, requiring Americans to apply for a special visa to stay in the country, Overseas stopped with the contract performance. An arbitration tribunal ordered Overseas to pay damages. During the enforcement procedure in the USA, Overseas claimed that the enforcement of the award would violate US public policy.

The court disagreed with it, stating that “*the public policy provision of Article V(2)(b) of the New York Convention should be construed narrowly, and the enforcement of foreign arbitral awards should be denied only where enforcement would violate very basic notions of morality and justice in the forum State*”. The court also added that “*to deny enforcement of this award largely because of the United States’ falling out with Egypt in recent years would mean converting a defence intended to be of narrow scope into a major loophole in the Convention’s mechanism for enforcement*”. (Evans, 1975) Similar approach to the interpretation of the public policy clause under the New York Convention was found in the later cases adjudicated in the US, for instance, National Oil Corp. v. Libyan Sun Oil Co. (1985), Ministry of Defense of Iran v. Cubic Defense Systems (2011), Ameropa AG v. Havi Ocean Co. LLC (2011).¹¹

These cases show how elastic the concept of national interests within public policy can become, and the latter should not be equated to State’s national policy or national political interests (Martinez, 1990). The interests a State considers “*essential*” may vary from year to year, from protecting strategic enterprises to saving company from an insolvency. This breadth risks turning an exceptional defence into a general shield, contrary to the treaty goals of limiting refusals.

4.3 Award Creditor Belongs to or Supports the Defence Industry of the State Participating in the Armed Conflict against the Enforcing Forum

Separate group of situations that raise the public policy concerns is the enforcement of foreign arbitral awards in favour of companies producing weapons and/or supporting the defence of the belligerent State. In this case, the requesting party can

¹¹ For detailed discussion of these cases, please, see Muratovic (2025).

be both a person from the belligerent State or a person from the third State which has commercial relationship with that State. Here, the risk of financing military operations is more direct, making the justification for refusal stronger.

In 2020, Ukrainian courts were asked to enforce several arbitral awards issued in Russia against the Ukrainian State company “Artem”. The company “AviaFed Service” (Russia) made advance payments to “Artem” (Ukraine) to supply goods of military nature. After 2014, “Avia-Fed Service” was included in the Ukrainian sanctions list and never performed the contract. “Avia-Fed Service’s” claim to recover the advanced payment was upheld by the panel of arbitrators. “Avia-Fed Service” (Russia) was seeking the enforcement of the arbitral awards in Ukraine. Despite being place in the sanctions list, the Supreme Court of Ukraine initially granted enforcement claiming that *“private legal relations are independent from the political situation and, therefore, the enforcement of an arbitral award in favour of the sanctioned Russian entity does not violate public policy of Ukraine”* (Shenk & Tolochko, 2021). However, just next month the same court deciding on the enforcement of other arbitral awards issued in Russia between the same parties takes the opposite opinion and refuses the enforcement. In between these cases, the Ukrainian Supreme Court faced significant public campaign of *“blaming and shaming”* for the enforcement of the arbitral award in favour of the Russian company (Kokoz, 2020). Hence, after just five weeks, the Ukrainian Supreme Court changed its approach in enforcement. It upheld its position that sanctions could not be a sufficient ground to justify the application of the public policy exception. Yet, *“the nature of contracts (i.e., the sale of dualuse items) and characteristics of the debtor (i.e., Ukrainian strategical defence enterprise)”* are important factors for courts to consider because the enforcement of foreign arbitral awards in such circumstances would cause a violation of public policy of Ukraine (Shenk & Tolochko, 2021).

Similar case took place in Russia. In 2024, the Russian courts had to decide whether to enforce the arbitral award of the Korean Commercial Arbitration Board (KCAB) in favour of Korean company (*Resolution of the Arbitrazh Court of the Moscow District (A41-2687/2023)*, 2024). The Russian courts refused to enforce the award for several reasons: (i) South Korea is a so-called ‘unfriendly’ country, (ii) the award creditor is a part of the corporate group that produces weapons, (iii) the corporate group made a statement that they plan to become a reliable partner of the NATO, and (iv) the corporate group also provides weapons to Ukraine, directly and indirectly. Hence, the enforcement of the award in favour of the award creditor will cause security and defence risks for the Russian State. The Russian courts also characterised all security-related decrees of the president and the government to constitute ‘*temporal*’ public policy which made it impossible to enforce the award.

A separate aspect of this case is the idea of ‘*temporary*’ public policy. This notion appears difficult to reconcile with the nature of public policy, which reflects the fundamental values and principles of the enforcing State. Reliance on a concept of ‘*temporary*’ public policy would undermine one of the Convention’s core purposes: the predictable cross-border enforcement of arbitral awards. The Convention deliberately limits the grounds for refusal in order to prevent precisely this kind of discretionary protectionism. Public policy, by its nature, should therefore be understood as relatively stable rather than temporary.

Unlike cases based merely on nationality, commercial association, or vague references to national security, these defence-industry cases represent situations where refusal of enforcement may legitimately serve public policy. Financing arms production directly strengthens war effort of the belligerent State, making enforcement incompatible with the enforcing State’s security. As Mills notes, public policy can

justifiably prevent enforcement of contracts that may “*aid an enemy State during a time of war*” (Mills, 2008).

4.4 Unilateral Sanctions

The New York Convention is designed to reduce fragmentation in international commerce and ensure that foreign arbitral awards would travel across borders with relative ease. Yet enforcement designed for stability often encounter sharpest tensions during war. Armed conflict destabilises not only borders and economies but also the legal assumptions that underpin international cooperation. One of the clearest illustrations of this tension lies in the use of unilateral sanctions.¹²

Unilateral sanctions, particularly in wartime, serve as instruments of statecraft. They allow governments to exert pressure without direct recourse to force, through trade restrictions, financial prohibitions, or asset freezes. Their official justifications are familiar: safeguarding national security, punishing violations of international law, or deterring aggression. But their legal character is more ambiguous. Unlike public policy, which is supposed to embody the enduring, fundamental principles of a legal order, unilateral sanctions are inherently contingent and supposed to be lifted as soon as armed conflict ends. They are imposed and lifted at the discretion of the executive, often in response to rapidly shifting political circumstances. As Kokoz has observed, sanctions are “*temporary restrictive measures*” rooted in momentary politics, whereas public policy refers to “*fundamental and basic legal principles*” that are not so easily

¹² This subsection concerns primarily unilateral sanction. Whether regional sanctions, such as EU sanctions, could be incorporated into the public policy scope under the New York Convention is debatable (for details, please read Fan (2024)). By contrast, the UN Security Council sanctions represent the only legitimate type of sanction that should fall within the scope of public policy, given their multilateral and binding character and their consistency with the framework of the New York Convention (for details on the UN Security Council sanctions, please consult De Brabandere & Holloway (2017)).

changed (Kokoz, 2020). Some sanctions regimes, including those associated with Cuba, Iran, and North Korea, have endured for decades. Their persistence shows that sanctions can also be long-term. Even so, duration alone should not collapse the distinction between sanctions and public policy. Sanctions remain policy instruments that may be adjusted, intensified, relaxed, or withdrawn by political decision, whereas Article V(2)(b) is directed at norms presented as fundamental to the legal order itself. Long-lasting sanctions may strengthen the case for tailored limits on enforcement, but they should not automatically redefine the content of public policy under the New York Convention. Public policy reflects shared foundational values of society, usually articulated through legislation and safeguarded by courts (De Jersey, 2003), while unilateral sanctions can be enacted by decree. To treat them as equivalent is to erode the stability of the public policy exception and invite the very volatility that the New York Convention was designed to resist.

Armed conflict magnifies the tension between unilateral sanctions and public policy. Russia's war against Ukraine offers a striking example. In 2022, the Ukrainian Supreme Court refused to enforce an arbitral award in favour of Rosneft (Russia) against Eurostandard-Autogas (Ukraine), citing the sanctions imposed on Rosneft (*Resolution of the Supreme Court of Ukraine (824/138/21)*, 2022). The Court's reasoning was revealing: it did not inquire whether the act of enforcement would itself endanger Ukraine's security or public order. It was enough that Rosneft appeared on the sanctions list, an executive designation that the Court treated as sufficient. In effect, public policy collapsed into the sanctioning power of the government.

This reasoning exposes the risk of using unilateral sanctions as a replacement for public policy. Enforcement can then be denied on the basis of political expediency, with no genuine analysis of whether the award violates fundamental legal principles. Parties may be labelled as "*sanctioned entities*" and shut out of enforcement

mechanisms, even when the underlying dispute is commercially ordinary. In the fog of war, sanctions become a convenient pretext to close the door on compensation and disrupt legitimate cross-border transactions.

Some scholars have embraced this convergence.¹³ In a recent study, Pomari surveyed Russian and Ukrainian case law and endorsed Ferrari's three-prong test for public policy defences: (1) the sanctions express a specific, *ex-ante* identifiable public policy, (2) the recognition and enforcement of the award touch and concern the public at large, and (3) recognizing and enforcing the award in the face of sanctions would shock the conscience of the court (Ferrari et al., 2023; Pomari, 2024). On this basis, he argues that sanctions should be incorporated into the New York Convention's public policy exception.

Although this position has intuitive appeal in times of crisis, it raises significant difficulties. First, it risks overstating the uniqueness of the recent European conflict experience. Treating the post-2014 Russia-Ukraine conflict as the event that suddenly made politics unavoidable in enforcement law overlooks earlier conflicts in Latin America, Africa, Asia, and the Middle East that also involved occupation, sanctions, and severe humanitarian harm (Bass, 2026). This point matters because treaty interpretation should not change only when conflicts affecting Europe generate especially intense institutional attention. TWAIL scholarship rightly reminds us that claims of universality in international law are often shaped by unequal power and selective experience (Anghie, 2006, 2023; Caserta, 2021). That critique does not by itself resolve the sanctions problem, but it cautions against presenting a regional response as if it reflected a global consensus.

¹³ Pomari appears to be among the few authors to address directly the interaction of sanctions and the public-policy exception in the wartime enforcement context, and the most directly relevant to the Russia-Ukraine line of cases. Other scholars discuss sanctions and public policy more generally; see, for example, Chevalier (2024).

Second, the argument that sanctions should enter public policy because they reflect contemporary sensibilities is difficult to square with the structure of the enforcement treaty. Unilateral sanctions are selective, politically contingent, and often contested by States outside the sanctioning coalition (Stein & Cocco, 2024; Hofer, 2025). That does not make sanctions legally irrelevant, but it does make them a poor proxy for the kind of stable, fundamental norm usually associated with public policy.

Third, incorporating sanctions wholesale into public policy risks undermining the stability of the enforcement regime itself. Pomari writes:

“accepting the proposition that politically motivated sanctions driven by parochial considerations and interests may find their way into [international public policy] is a hard pill to swallow for the adamant defenders of the international character of the Convention. Nonetheless, it cannot be ignored that the lawfare sweeping the world since 2014 opened a fork in the road. The Convention can either account for the current socio-political context and withstand the impact of the new parochialism spurred by the war in Ukraine by carving out some limited, rigorously defined room for unilateral sanctions, or it can stubbornly close the door of [international public policy] in the name of a blind transnational dogmatism, eventually dissolving with it. Clearly, courts in Ukraine and Russia have shown no reluctance in paving the way for the latter option.” (Pomari, 2024, pp. 63–64)

By endorsing the incorporation of sanctions into public policy, this approach invites courts to deny enforcement whenever executive-imposed sanctions exist, regardless of whether the award itself implicates fundamental values. That transforms the Convention into a vehicle for unilateralism rather than a safeguard of predictability. Such an approach is difficult to reconcile with the rules of treaty interpretation under

the Vienna Convention on the Law of Treaties, which require treaties to be construed in light of their object and purpose, not shifting domestic politics (*Vienna Convention on the Law of Treaties*, 1969; for *Commercial Arbitration*, 2024). Although the scope of the public policy exception is determined by reference to domestic law (ICCA, 2024), allowing sanctions to expand the exception too easily undermines the goals of the enforcement treaty.

The better view is therefore narrower. Sanctions should not automatically count as public policy. Instead, they should be analysed through the structured test proposed above. A sanctions measure may be relevant in at least two different ways. It may furnish evidence of a concrete legal obstacle to transfer, in which case the appropriate response may be suspension, escrow, or deferred execution rather than outright non-enforcement.¹⁴ Or it may coincide with a truly fundamental norm, such as the prohibition on direct support for an enemy's military production. What sanctions cannot do by themselves is substitute for proof that recognition or enforcement would seriously violate the forum's most basic principles.

The wartime sanctions debate thus confirms a broader point. Courts should resist the temptation to let executive measures dictate the scope of public policy. Especially in wartime, when law is vulnerable to political pressure, principled restraint is essential if the enforcement treaties are to remain credible.

¹⁴ King & Meredith (2010) shows that case law in different countries used partial enforcement of arbitral awards which indicates that balancing public policy protection with pro-enforcement approach is possible and should be promoted.

5 Balanced Solution for Enforcement during Armed Conflict

If a court has already established, under the four-step test proposed above, that there is a concrete and serious wartime obstacle to immediate enforcement, then two judicial models appear reasonable to employ. The first may be termed the ‘*temporary refusal*’ approach, illustrated by recent a German case. The second, illustrated by a Ukrainian case, could be described as the ‘*conditional enforcement*’ approach, whereby recognition is granted but enforcement of the award is suspended until sanctions or other wartime restrictions are lifted.

The first solution is illustrated by the decision of the Higher Land Court (Oberlandesgericht) of Stuttgart of 13 May 2025 ([OLG Stuttgart \(1 Sch 3/24\), 2025](#)). The case concerned a Russian company seeking recognition and enforcement of an arbitral award rendered by the International Commercial Arbitration Court (ICAC) at the Russian Chamber of Commerce and Industry in 2023. The dispute arose from a German company’s failure to deliver equipment in 2022, citing EU sanctions. The arbitral tribunal ordered repayment of the advance plus interest.

During the enforcement proceedings, the German company maintained that repayment would contravene EU sanctions, which prohibited transfer of funds to Russia. It further argued that the machine tools in question could enhance Russia’s industrial, and potentially military, capacity. The Russian award creditor denied such implications. The Stuttgart court concluded that, under EU and German law, the transfer was *currently prohibited*, such that enforcement would contravene German public policy.¹⁵ The German defendant asked the court in Stuttgart to refuse

¹⁵ Resolution part of the Stuttgart judgment:

recognition and enforcement altogether. However, the court rejected this request and ruled only that “*currently / at the present time*” (*derzeit* in German) it refuses recognition and enforcement.¹⁶

This temporally qualified refusal preserves the award creditor’s opportunity to reapply once sanctions are lifted. From a doctrinal perspective, the approach reflects a genuine attempt to reconcile Germany’s obligations under the New York Convention with domestic and EU-level constraints. Nevertheless, it raises serious procedural concerns. A refusal to enforce may trigger *res judicata* and limitation problems (Kokoz, 2020). If sanctions persist for long time, the award creditor’s right to effective enforcement may be extinguished altogether (Kokoz, 2020). Procedural time limits may also expire before the conflict-related obstacle disappears.

The second model is best illustrated in the enforcement proceedings in *AviaFed Service (Russia) v. Artem (Ukraine)* in Ukraine. There, the judiciary distinguished between recognition of the arbitral award and enforcing the monetary obligation flowing from it. Recognition was granted because the underlying dispute arose from private contractual relations and did not, in itself, violate Ukrainian public policy. At the same time, enforcement was suspended: funds owed under the award would be withheld or placed in escrow until the relevant sanctions regime ceased to apply. If the respondent were to become insolvent during the period in which sanctions prevent transfer, the award creditor would risk losing the fruits of the award entirely. By placing the funds in escrow, the enforcing court safeguards the award creditor’s

2. To establish that the award No. ... of the International Commercial Arbitration Court at the Chamber of Commerce and Industry of the Russian Federation in Moscow dated 27 November 2023 is *currently* not recognisable in Germany.

¹⁶ Resolution part of the Stuttgart judgment:

3. The defendant’s request in paragraph 3 for the award to be recognised as not recognisable in Germany is rejected as inadmissible.

entitlement and ensures that the award does not become illusory in practice. This model also has some disadvantages. The escrow maintenance must be paid, enforcement of the escrow agreement could suffer from the same issues as current case law. However, these problems could be also easily solved. The escrow agent could be a neutral thirdcountry person, while the costs could be derived from the award sum. In any case, slightly decreased amount of the award is better than none. Thus, the Ukrainian '*conditional enforcement*' model avoids the doctrinal pitfalls that accompany Germany's '*temporary refusal*'.

Taken together, these two models illustrate divergent but complementary attempts to articulate a balanced solution. Germany favoured temporal refusal of enforcement, thereby safeguarding public policy at the risk of undermining effective enforceability. Ukraine proposed conditional enforcement, preserving enforceability but at the cost of potentially lengthy suspension of execution. Within the four-step framework, the second model is generally preferable whenever immediate transfer is the real problem. It preserves the recognition decision, protects the creditor against insolvency risk, and respects the narrowness of the public policy exception by using a tailored remedy instead of total non-enforcement. In this sense, conditional enforcement represents a more convincing reconciliation of international enforcement, State sovereignty, and private party expectations.

6 Conclusion

This research has shown that the operation of the New York Convention should not depend on the outbreak of armed conflict. To accept such a view would undermine the principle of *pacta sunt servanda* and weaken the stability of the international legal order. This treaty exist to overcome political disagreement and to secure predictability

in the recognition and enforcement of foreign judgments and arbitral awards. If armed conflict automatically suspended enforcement obligations, the predictability that international commerce and dispute resolution rely upon would disappear precisely when legal certainty is most needed. The historical doctrine that “*war cancels everything*” is no longer appropriate.

The central claim of this paper is therefore not that wartime considerations are irrelevant, but that they must be filtered through a disciplined legal test. Courts should ask four questions. What precise norm is said to be endangered by enforcement? Does the alleged harm arise from enforcement itself rather than merely from the award creditor’s nationality or association? How close is the dispute to the enforcing forum, and how serious is the hypothetical harm? Are less restrictive alternatives, such as escrow, suspension of transfer, or conditional enforcement, available? Only when these questions are answered convincingly should wartime public policy justify refusal or delayed enforcement.

This framework helps distinguish between very different wartime scenarios. In practice, armed conflict can raise public policy concerns in four main situations: (i) when the award creditor is closely linked to a State participating in the armed conflict against the enforcing forum, (ii) when enforcement implicates national security of the enforcing State, (iii) when the award creditor belongs to the defence industry of a State participating in the armed conflict against the enforcing forum or other States supporting this State, and (iv) when enforcement interacts with wartime sanctions of the enforcing State. In most cases, enforcement does not truly threaten the security of the enforcing legal order. Cases involving direct support for the defence industry present the strongest argument for refusal because the connection between enforcement and military harm is more direct. In sanctions cases, by contrast, the more

appropriate response will often be conditional enforcement rather than a finding that public policy has been violated in full.

A related risk arises from attempts to treat economic sanctions as part of public policy without further analysis. Such an approach would allow unilateral or bloc-driven sanctions to override treaty obligations too easily, turning enforcement regimes into tools of political power rather than neutral legal frameworks and worsening the fragmentation of international law. This undermines confidence in arbitration as a system designed to stay outside politics and threatens to replace legal certainty with political discretion.

In sum, the New York Convention must continue to apply during armed conflict, with exceptions allowed only in rare and clearly defined situations. Public policy should not serve as a broad shield against enforcement or as a proxy for political convenience. Modern financial, technological, and legal tools make it possible to preserve international legal certainty, protect property rights, and maintain the credibility of enforcement regimes even in times of conflict. Ensuring the compliance with the New York Convention under such circumstances is essential for the stability of the international legal order.

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